

1. **Digital-native companies** – companies that were built around digital technology from the beginning.
2. **Legacy enterprises** – older companies that have existing systems, processes, and traditional ways of working and need to modernise them.

Digital-Native vs. Legacy Enterprise

Digital-native company

A digital-native company is essentially **born digital**.

It usually:

- Uses cloud technology from the beginning
- Uses data extensively
- Has fewer old/legacy IT systems
- Develops products digitally
- Can change its software and processes relatively quickly
- Often uses agile working methods

Example: Netflix

Netflix started as a DVD rental business but developed into a digital streaming company.

Its modern business depends heavily on:

- Cloud infrastructure
- Mobile and web applications
- Data analytics
- Personalised recommendations
- Digital subscriptions
- Streaming technology

For example:

You watch several action movies → Netflix analyses your viewing behaviour → Netflix recommends more action movies.

Technology is therefore deeply integrated into the business model.

What Is a Legacy Enterprise?

A **legacy enterprise** is generally an established organisation with older systems, processes, infrastructure, and organisational practices.

This does **not** mean the company is technologically outdated in every area.

The challenge is that it may have accumulated systems and processes over many years.

Example: Traditional Bank

Imagine a bank that has operated for 50 years.

It may have:

- Old databases
- Mainframe systems
- Branch networks
- Paper-based processes
- Older banking applications
- Multiple systems that don't communicate easily

The bank now wants customers to open accounts through a mobile app.

The new mobile application may need to communicate with older banking systems.

This makes digital transformation more complicated than simply creating a new app.

Digital Transformation Strategy

Agile Enterprise Resource Planning (ERP)

What is ERP?

ERP is software that helps a company manage core business functions.

For example:

- Finance
- Accounting
- Inventory
- Purchasing
- Human resources
- Sales
- Supply chain

Simple example

Imagine a retail company sells a laptop.

Customer buys laptop.

The system can automatically update:

Sales

↓

Inventory

↓

Accounting

↓

Order fulfilment

↓

Financial reporting

Instead of each department maintaining separate information, the systems can be integrated.

Why is this important?

It creates:

One connected view of the business.

Digital Transformation Strategy ②

Customer Experience Modernisation

This means improving how customers interact with the company using digital technology.

Traditional experience

Customer:

Visits store → talks to employee → fills in form → makes payment

Modern experience

Customer:

Mobile app → search product → check availability → order → pay digitally → track delivery

The goal is to make the customer journey **simpler, faster and more connected**.

Example: Airline

A modern airline may allow customers to:

- Search flights
- Buy tickets
- Select seats
- Check in online
- Download boarding passes
- Receive flight notifications
- Track baggage

all through digital channels.

The customer doesn't need to visit a physical office for every step.

Digital Transformation Strategy

Cloud Migration

What is cloud migration?

It means moving systems, applications, storage, or computing infrastructure from traditional on-premises environments to cloud-based environments.

Traditional approach

Company owns:

Physical servers + server room + maintenance staff

Cloud approach

Company uses:

Cloud infrastructure and services

For example, a company may use cloud services for:

- Website hosting
- Database
- File storage
- Backup
- Analytics
- Application hosting

Example

A small e-commerce company experiences a huge increase in customers during a major sale.

A scalable cloud infrastructure can help the company handle changing demand without necessarily purchasing large amounts of physical hardware beforehand.

Digital Transformation Strategy

AI-Driven Workflow Automation

This means using **AI or automation to perform repetitive tasks.**

Example: Customer service

Traditional process:

Customer sends email

↓

Employee reads email

↓

Employee identifies issue

↓

Employee searches for information

↓

Employee writes response

Modern process:

Customer sends question

↓

AI identifies the question

↓

AI searches approved information

↓

AI provides an appropriate response or routes the case to an employee

This can reduce repetitive work.

Digital Transformation Strategy

IoT and Supply Chain Digitisation

What is IoT?

IoT = Internet of Things

It means physical devices are connected to the internet and can collect or exchange data.

Examples:

- Sensors
- GPS trackers
- Smart machines
- Warehouse scanners
- Connected vehicles
- Smart meters

Example: Logistics company

Imagine a delivery truck has GPS and temperature sensors.

The company can monitor:

- Truck location
- Temperature
- Fuel usage
- Delivery status

in real time.

For refrigerated food:

Temperature becomes too high → system generates an alert → staff investigates.

This allows the company to monitor physical operations using digital information.

Digital Transformation Strategy

Data-Driven Business Model Innovation

This means using **data and analytics to create new products, services, or revenue opportunities.**

Example: Fitness application

A fitness app collects information such as:

- Exercise activity
- Running distance
- Workout frequency
- User preferences

The company can use this data to provide:

- Personalised recommendations
- Training plans
- Premium services
- Fitness insights

The data becomes part of the company's value creation.